

City of Santa Monica
Development Impact Fees Report Pursuant to the Mitigation Fee Act
Fiscal Year Ended June 30, 2021

Water Demand Mitigation Fee

For the purpose of compliance with Government Code subsection 66006(b)(1), the following information regarding AB 1600 fees is presented:

For each separate account or fund established pursuant to subdivision (a), the local agency shall, within 180 days after the last day of each fiscal year, make available to the public the following information for the fiscal year:

(A) A brief description of the type of fee in the account or fund.

The Water Demand Mitigation Fee - A one-time fee the City charges new development to mitigate the total daily water consumption rate projected for the development. The total daily water demand for the project is calculated using standard water demand factors which have been developed by City staff. The water demand mitigation fee is set at \$3.00 for each gallon of daily water demand which must be mitigated. Effective, July 1, 2017, the Water Demand Mitigation Fee was replaced with the Water Neutrality Fee. The City will continue to collect Water Demand Mitigation revenues for permit applications submitted prior to July 1, 2017 with the following exception: Any new development applications for a building permit filed on or before November 27, 2018, that only results in a change of use of less than 6,000 square feet and/or an addition of less than 1,500 square feet, will be required to pay the water demand mitigation fee in effect as of November 27, 2018.

This fee is required when:

- Single-Family Residence -- for construction of a new residence or whenever adding 50% or greater to the square footage.
- Multi-Family -- for construction of a new building or whenever new units are added.
- Non-Residential -- for construction of a new building or whenever there is a change of use, changing or adding plumbing fixtures, or adding restaurant seats or square footage.

(B) The amount of the fee.

Project	Fee
Single-Family	\$990.00
Multi-Family (condominium fees same as apartments):	
Studio/Single Apartment:	\$315.00
1 Bedroom Apartment:	\$375.00
2 Bedroom Apartment:	\$570.00
3 Bedroom Apartment:	\$750.00
Duplex (2 Apartments):	\$900.00
Non-Residential:	To be determined by the Civil Engineering Plan Checker

(C) The beginning and ending balance of the account or fund and (D) The amount of the fees collected and the interest earned.

FISCAL YEAR	BEGINNING FUND BALANCE	FEES COLLECTED	INTEREST EARNED	EXPENDITURES	ENDING FUND BALANCE
FY 2020-21	\$ 1,376,256	0	0	962,037	\$ 414,219

(E) Identification of each public improvement on which fees were expended and the amount of the expenditures on each improvement, including the total percentage of the cost of the public improvement that was funded with fees. Note: The percentage will be reported upon completion of the project/s.

In FY 2020-21, \$962,037 of Water Demand Mitigation Fees were expended on the Recycled Water Main Expansion Project.

F) An approximate date by which the construction of the public improvement will commence if the local agency determines that sufficient funds have been collected to complete financing on an incomplete public improvement, as identified in paragraph (2) of subdivision (a) of Section 66001, and the public improvement remains incomplete.

As part of the FY2020-21 Exception Based Capital Improvement Program Budget Process, the following funding was appropriated with Water Demand Mitigation Fees:

- > Sustainable Water Infrastructure Project (SWIP) Injection Well (SM-10i) - construction began October 2021, expected completion by end of 2022
- > Recycled Water Main Expansion Project - construction began December 2020